THE PAVILLION · 6400 SIERRA COURT, SUITE E, DUBLIN, CA

Business Plan, Setup Costs, Operating Costs, Expected Revenue & Build Timeline · 96,000 Sq. Ft.

PREPARED FOR PROPERTY SELLERS
100% CASH FUNDED · NO BANK LOAN

Executive Summary for the Building Owners: Precision Developers is leasing **6400 Sierra Court, Suite E (96,000 sq. ft.)** on a **10-year lease (+ 10-year option)** to open **The Pavillion**—a family-friendly, **100% alcohol-free and smoke-free** indoor sports, wellness, Indian fusion dining, and business club destination. Below are the straightforward numbers showing **how much it costs to build**, **how long construction takes**, and **when positive cash flow begins**.

1. THE THREE CORE QUESTIONS — ANSWERED UP FRONT

1. HOW MUCH TO BUILD & OPEN?

$6,500,000 Cash

$5,300,000 for interior build-out & equipment inside the existing shell, plus **$1,200,000** in cash reserve for pre-opening rent, deposit & working cushion. **100% cash—no bank loan.**

2. HOW LONG WILL IT TAKE TO BUILD?

6 Months Total

Months 1–2: City of Dublin interior permits & drawings.
Months 3–5: 90-day interior fit-out (no structural demo).
Month 6: Inspections, training & **Grand Opening**.

3. WHEN DOES POSITIVE CASH FLOW START?

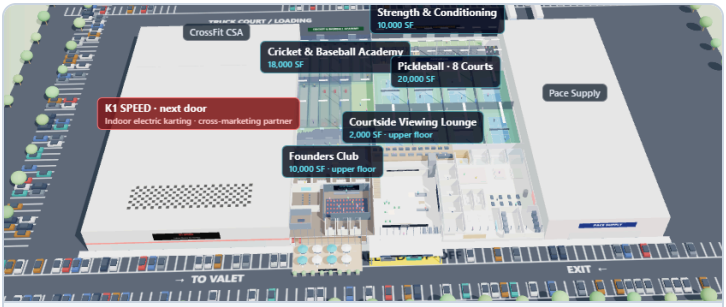
Month 9 (Month 3 Open)

Doors open at the end of Month 6. By **Month 9 (90 days after opening)**, monthly revenue (**$500,000/mo**) exceeds rent (**$148,000/mo**) and all expenses, producing **+$40,000/mo** positive cash flow.

2. VISUAL OVERVIEW — WHAT WE ARE BUILDING INSIDE 6400 SIERRA COURT, SUITE E



Two-Level Interior Vision: Ground-floor championship pickleball courts, batting lanes & dining, overlooked by the existing 20,000 SF second-floor Founders Lounge & viewing balcony.



Exact 6400 Sierra Ct, Suite E Layout (96,000 SF): Fits cleanly inside the existing building between K1 Speed (Suite B) and Pace Supply (Suite G), using all 398 site parking stalls.

3. PROPERTY & LEASE SUMMARY (6400 SIERRA COURT, SUITE E, DUBLIN, CA 94568)

PROPERTY & LEASE ITEM	AGREED TERMS FOR 6400 SIERRA COURT, SUITE E	WHY THIS PROTECTS THE BUILDING OWNERS
Leased Premises	**96,000 Sq. Ft. Total** (~76,000 SF Ground Floor + ~20,000 SF Existing 2nd Floor)	Reuses the existing concrete shell, 30' clear ceiling, and existing 2nd-floor structure.
Monthly Building Rent + NNN	**$1.25/SF Base ($120,000) + $0.29/SF NNN ($27,840) = $147,840 / month** (~$1,775,000 / yr)	Pre-opening rent during the 6-month build-out is set aside up front in the $1,200,000 Cash Reserve.
Lease Term & Renewal	**10-Year Initial Term + One 10-Year Option** (3% annual base rent increase)	Long-term tenant investing $5,300,000 permanently into the building interior.
Tenant & Financial Backing	**Precision Developers / Precision Security Principals** (100% Cash Funded)	Actual historical company financials & partner tax returns provided directly for verification.

SETUP COSTS & 6-MONTH CONSTRUCTION TIMELINE

Specific to 6400 Sierra Court, Suite E · Interior Fit-Out of Existing 96,000 Sq. Ft. Building

$5,300,000 BUILD-OUT + $1,200,000 CASH RESERVE

1. SETUP & BUILD-OUT COSTS (HOW MUCH IT COSTS TO BUILD)

SETUP / CONSTRUCTION CATEGORY	SCOPE OF WORK SPECIFIC TO 6400 SIERRA CT, SUITE E	ESTIMATED COST
1. Permits, Architecture & Interior Prep	City of Dublin building/health permits, architectural & engineering drawings, floor prep (no structural demo)	**$450,000**
2. HVAC, Electrical & Sports LED Lighting	High-bay LED court/lane lighting, climate-control zoning for courts & upstairs, panel distribution	**$850,000**
3. 8 Indoor Pickleball Courts & Balcony	22,000 SF cushioned court surfacing, nets, acoustic wall baffles, divider curtains & 2nd-floor glass rail	**$550,000**
4. 12 Cricket & Baseball Batting Tunnels	18,000 SF heavy-duty retractable cage netting, synthetic turf lanes, bowling/pitching machines & cameras	**$600,000**
5. Indian Fusion Restaurant, Kitchen & Patio	9,000 SF commercial kitchen, Type-1 hoods, grease interceptor, tandoor ovens, dining room & outdoor patio	**$950,000**
6. Thermal Spa, Saunas, Plunge & Lockers	12,000 SF cedar dry saunas, steam rooms, cold plunge pools, showers, lockers & 4 massage rooms	**$850,000**
7. Strength & Conditioning Gym + Equipment	10,000 SF shock-absorbent rubber flooring, 40-yard sprint turf lane, power racks, free weights & cardio	**$450,000**
8. Upstairs Founders Club, Lobby & Café	10,000 SF existing 2nd floor remodeling (boardrooms, lounge, AV) + 15,000 SF ground lobby & juice/chai bar	**$600,000**
TOTAL CONSTRUCTION & EQUIPMENT	**Turnkey Interior Fit-Out of Existing 96,000 SF Building (~$55 / Sq. Ft.)**	**$5,300,000**
9. Pre-Opening Rent, Deposit & Cash Reserve	Dedicated cash set aside day one for lease security deposit, build-period rent & opening working capital	**$1,200,000**
TOTAL CASH COMMITTED AT LEASE SIGNING	**100% Funded in Cash by Precision Developers (Zero Bank Financing Required)**	**$6,500,000**

2. HOW LONG IT TAKES TO BUILD & REACH POSITIVE CASH FLOW (12-MONTH ROADMAP)

MONTHS 1 – 2
Permits & Plans
Submit architectural & MEP plans to City of Dublin; order kitchen, sauna & court materials.

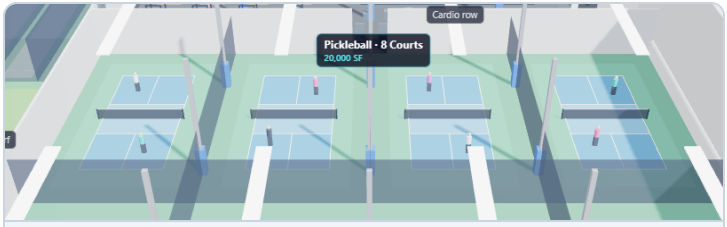
MONTHS 3 – 5
90-Day Fit-Out
Interior build-out inside existing shell: courts, cages, kitchen, spa & 2nd-floor lounge finishes.

MONTH 6
Grand Opening
Final City inspections, equipment testing, staff hiring & Grand Opening. Memberships go live.

MONTHS 7 – 8
Early Ramp-Up
First 60 days open: revenue ramps from $350k/mo to $450k/mo, reaching break-even in Month 8.

MONTH 9 (OPEN M3)
Positive Cash Flow
$500,000/mo revenue vs. $460,000/mo total costs (incl. rent) = **+$40,000/mo positive cash flow**.

3. INTERIOR ZONE VISUALS — FAST MODULAR FIT-OUT INSIDE THE EXISTING SHELL



8 Championship Pickleball Courts (22,000 SF): Placed directly between the existing 40-foot structural column bays—no structural columns moved.



12 Cricket & Baseball Batting Lanes (18,000 SF): Uses the existing 30-foot high ceiling in the North-West bay, overlooked by the 2nd-floor Founders Club.

OPERATING COSTS & EXPECTED REVENUE

Straightforward Monthly & Annual Numbers at Steady State · 6400 Sierra Court, Suite E

$740,000/MO EXPECTED REVENUE
$475,000/MO OPERATING COSTS

1. OPERATING COSTS (WHAT IT COSTS EACH MONTH & YEAR TO RUN THE BUILDING)

OPERATING EXPENSE ITEM	WHAT THIS COVERS	MONTHLY COST	ANNUAL COST
1. Building Rent + NNN Charges	96,000 SF @ $1.25/SF Base Rent ($120,000) + $0.29/SF NNN ($27,840)	**$148,000**	**$1,776,000**
2. Staff Payroll, Coaches & Chefs	General Manager, front desk, restaurant chefs/servers, spa staff & sports coaches	**$185,000**	**$2,220,000**
3. Restaurant Food, Café & Spa Supplies	Fresh kitchen ingredients, zero-proof beverages, café items, towels & spa supplies	**$55,000**	**$660,000**
4. Utilities, Janitorial & Upkeep	Electricity, water, HVAC filter/service contract, nightly cleaning & security	**$42,000**	**$504,000**
5. Insurance, Software & Marketing	Commercial liability insurance, member booking system, accounting & local marketing	**$45,000**	**$540,000**
TOTAL OPERATING COSTS (INCL. RENT)	**All-In Monthly & Annual Operating Budget**	**$475,000 / mo**	**$5,700,000 / yr**

2. EXPECTED REVENUE (HOW THE FACILITY MAKES MONEY ACROSS 5 EVERYDAY STREAMS)

FACILITY ZONE (96,000 SF TOTAL)	SIMPLE EVERYDAY REVENUE DRIVERS	MONTHLY REVENUE	ANNUAL REVENUE
1. Indian Fusion Restaurant & Café 9,000 SF Restaurant + 15,000 SF Atrium/Café	~115 restaurant guests/day ($44 avg meal), daytime café/juice bar & private dining (100% alcohol-free)	**$165,000**	**$1,980,000**
2. 8 Indoor Pickleball Courts & Lounge 22,000 SF Ground Courts + L2 Balcony	Pickleball Club memberships ($79/mo), hourly court bookings ($50/hr), leagues, clinics & weekend tournaments	**$125,000**	**$1,500,000**
3. 12 Cricket & Baseball Batting Lanes 18,000 SF Indoor Turf & Batting Tunnels	Youth & adult academy ($230/mo), hourly cage rentals ($50/hr), team practices & East Bay league play	**$150,000**	**$1,800,000**
4. Strength Gym & Thermal Spa 10,000 SF Gym + 12,000 SF Sauna/Plunge Spa	Gym memberships ($99/mo), Spa memberships ($89/mo), $45 day passes, personal training & massage therapy	**$150,000**	**$1,800,000**
5. Upstairs Founders Club & Events 10,000 SF Existing 2nd Floor Sanctuary	100 Charter Founders ($350/mo), 220 Associates ($125/mo), boardroom rentals, corporate offsites & dinners	**$150,000**	**$1,800,000**
TOTAL EXPECTED REVENUE	**Combined Monthly & Annual Revenue at Steady State**	**$740,000 / mo**	**$8,880,000 / yr**
Less: Total Operating Costs (Incl. Rent)	Includes $148,000/mo ($1,776,000/yr) Building Rent + NNN and all payroll/expenses	**($475,000 / mo)**	**($5,700,000 / yr)**
NET POSITIVE CASH FLOW (STEADY STATE)	**Surplus Cash After Paying Building Rent, NNN & All Operating Costs**	**+$265,000 / mo**	**+$3,180,000 / yr**

Why This Business Model Is Safe & Dependable for the Landlord: Unlike a single-use tenant that relies on one source of income, The Pavillion earns steady daily cash flow from **five everyday activities under one roof**: morning gym & spa members, midday business lunches & corporate offsites, after-school youth cricket/baseball academies, evening pickleball leagues, and family Indian fusion dinners. Even if expected revenue were **30% lower than planned**, the business still pays the **$148,000/month rent** and all operating expenses with positive cash left over.

5-YEAR CASH FLOW SUMMARY & SELLER COMMITMENTS

From Lease Signing & 6-Month Build-Out to Multi-Year Positive Cash Flow

POSITIVE CASH FLOW IN MONTH 9
+$3.18M/YR STEADY STATE

1. YEAR-BY-YEAR SUMMARY (EXPECTED REVENUE VS. RENT & OPERATING COSTS)

PERIOD	WHAT HAPPENS IN THIS PERIOD	EXPECTED REVENUE	BUILDING RENT + NNN	OTHER OPERATING COSTS	NET CASH FLOW
Months 1–6 (6-Mo Build)	Permits & interior construction. Rent & build costs paid from the **$6,500,000 Cash Committed**.	$0	$888,000 (From Reserve)	$5,300,000 (Build-Out)	**Pre-Funded**
Months 7–12 (First 6 Mos Open)	Grand Opening at end of Month 6. **Positive monthly cash flow starts in Month 9 (Month 3 open).**	**$3,100,000**	**$888,000**	**$1,862,000**	**+$350,000**
Year 2 (Months 13–24)	First full 12 months open across all sports, spa, restaurant & Founders Club zones (incl. 3% rent bump).	**$7,500,000**	**$1,825,000**	**$3,675,000**	**+$2,000,000**
Year 3 (Steady State)	**Full steady-state operation ($740,000/mo revenue vs. $475,000/mo total costs incl. rent).**	**$8,880,000**	**$1,880,000**	**$3,820,000**	**+$3,180,000**
Year 4 (Months 37–48)	Continued steady operation with modest membership & event growth (incl. 3% rent bump).	**$9,200,000**	**$1,935,000**	**$3,915,000**	**+$3,350,000**
Year 5 (Months 49–60)	Established regional flagship in Dublin (incl. 3% annual rent bump).	**$9,500,000**	**$1,995,000**	**$4,005,000**	**+$3,500,000**

2. VISUALS OF THE WELLNESS SPA & UPSTAIRS FOUNDERS CLUB SANCTUARY



Thermal Spa & Recovery Sanctuary (12,000 SF · Ground SE): Cedar dry saunas, steam rooms, cold plunges, and recovery lounges positioned near the existing plumbing core.



Upstairs Founders Lounge & Executive Dining (10,000 SF · Level 2): Uses the existing second floor overlooking the indoor courts for business meetings and alcohol-free dining.

3. DIRECT COMMITMENTS TO THE PROPERTY SELLERS

1. Actual Historical Financials & Tax Returns: In addition to this Dublin business plan and build-out budget, Precision Security / Precision Developers and its partners will provide **actual historical financial statements (P&L, Balance Sheet) and the last 2 years of tax returns** directly to the sellers and listing broker for guaranty and credit verification.

2. Respecting Your Building: Our layout works *with* 6400 Sierra Court, Suite E as it stands today—keeping the existing concrete shell, roof, slab, column grid, and 20,000 SF second-floor mezzanine intact while investing **$5,300,000 in permanent interior improvements**.

3. Clean, Family-Safe Neighbor: 100% alcohol-free and smoke-free operation that complements neighboring tenants (K1 Speed & Pace Supply) and brings high-income families, athletes, and business owners to 6400 Sierra Court.